



Bill Number: H.B. 2481

Angius Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Requires, if a school district fails to correct a Uniform System of Financial Records (USFR) deficiency within 90 days as outlined, the State Board of Education (SBE) to direct the Arizona Department of Education (ADE) to provide the school district a list of approved training programs and providers prescribed by the SBE and ADE, rather than direct ADE to provide the training and interventions to the school district within 30 calendar days.
2. Requires a school district that fails to correct a USFR deficiency within 90 days as outlined to implement any interventions and provide training to specified school district personnel not later than 30 calendar days after receiving the list of approved training programs and providers from ADE.
3. Requires a school district to notify ADE when each intervention is implemented and when each school district administrator completes the training.
4. Removes the requirement for a school district that fails to correct a USFR deficiency to pay for any costs incurred by ADE to provide the training and interventions.
5. Makes technical changes.

ANGIUS FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2481
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-272, Arizona Revised Statutes, is amended to
3 read:

4 15-272. Duties; department of education; state board of
5 education; sanctions for noncompliance with uniform
6 system of financial records

7 A. The department of education shall advise and consult with the
8 auditor general in ~~the preparation~~ PREPARING and ~~implementation of~~
9 IMPLEMENTING a uniform system of financial records.

10 B. The state board of education, on report from the auditor
11 general, shall determine whether school districts are maintaining the
12 uniform system of financial records. If the state board of education
13 determines that a school district is not in compliance with the uniform
14 system of financial records or has failed to correct a deficiency ~~within~~
15 ~~ninety days after receiving notice from the auditor general~~ FOR ONE OF THE
16 FOLLOWING PERIODS OF TIME, the state board of education shall:

17 1. IF THE SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
18 NINETY DAYS AFTER RECEIVING NOTICE FROM THE AUDITOR GENERAL, DO BOTH OF
19 THE FOLLOWING:

20 (a) Direct the superintendent of public instruction to withhold up
21 to ten ~~per cent~~ PERCENT of the portion of state monies to the school
22 district for each violation from the date of the determination until such
23 time as the auditor general reports THE SCHOOL DISTRICT'S compliance with
24 the uniform system of financial records. The auditor general and the
25 department of education shall assist the school district to achieve
26 compliance during such period.

1 (b) CONSULT WITH THE DEPARTMENT OF EDUCATION TO DETERMINE THE
2 AMOUNT OF TRAINING AND OTHER INTERVENTIONS NECESSARY OR APPROPRIATE TO
3 ASSIST THE SCHOOL DISTRICT TO ACHIEVE COMPLIANCE AND DIRECT THE DEPARTMENT
4 OF EDUCATION TO PROVIDE [TO THE SCHOOL DISTRICT A LIST OF APPROVED
5 TRAINING PROGRAMS AND PROVIDERS FOR] THE TRAINING AND INTERVENTIONS
6 [WITHIN THIRTY CALENDAR DAYS] [PRESCRIBED BY THE STATE BOARD AND THE
7 DEPARTMENT PURSUANT TO THIS SUBDIVISION]. [NOT LATER THAN THIRTY CALENDAR
8 DAYS AFTER THE SCHOOL DISTRICT RECEIVES THE LIST OF APPROVED TRAINING
9 PROGRAMS AND PROVIDERS FROM THE DEPARTMENT, THE SCHOOL DISTRICT SHALL
10 IMPLEMENT ANY INTERVENTIONS THAT ARE PRESCRIBED PURSUANT TO THIS
11 SUBDIVISION AND SHALL PROVIDE] ANY TRAINING [UNDER] [THAT IS PRESCRIBED
12 PURSUANT TO] THIS SUBDIVISION [MUST BE PROVIDED] TO THE SCHOOL DISTRICT'S
13 SUPERINTENDENT, BUSINESS MANAGER AND CHIEF FINANCIAL OFFICER AND ANY OTHER
14 ADMINISTRATOR OR EXECUTIVE IDENTIFIED BY THE STATE BOARD OF EDUCATION OR
15 THE DEPARTMENT OF EDUCATION. [THE SCHOOL DISTRICT SHALL NOTIFY THE
16 DEPARTMENT WHEN EACH INTERVENTION IS IMPLEMENTED AND WHEN EACH
17 ADMINISTRATOR COMPLETES THE TRAINING.] THE DEPARTMENT SHALL NOTIFY THE
18 STATE BOARD OF EDUCATION WHEN THE TRAINING AND INTERVENTIONS PROVIDED
19 PURSUANT TO THIS SUBDIVISION ARE COMPLETED. [THE DEPARTMENT MAY CONTRACT
20 WITH A THIRD PARTY TO PROVIDE THE TRAINING AND INTERVENTIONS. THE SCHOOL
21 DISTRICT SHALL PAY FOR ANY COSTS INCURRED BY THE DEPARTMENT TO PROVIDE THE
22 TRAINING AND INTERVENTIONS PURSUANT TO THIS SUBDIVISION.]

23 2. IF THE SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
24 EIGHTEEN MONTHS AFTER RECEIVING NOTICE FROM THE AUDITOR GENERAL, NOTIFY
25 THE SCHOOL DISTRICT GOVERNING BOARD THAT THE SCHOOL DISTRICT'S
26 SUPERINTENDENT IS INELIGIBLE TO RECEIVE PERFORMANCE-BASED PAY, INCLUDING
27 THE PORTION OF THE SUPERINTENDENT'S ANNUAL SALARY THAT IS CLASSIFIED AS
28 PERFORMANCE PAY PURSUANT TO SECTION 15-341, SUBSECTION A, PARAGRAPH 39,
29 FOR THE PERIOD BEGINNING ON THE FIRST DAY OF THE EIGHTEENTH MONTH AFTER
30 THE SCHOOL DISTRICT RECEIVES NOTICE FROM THE AUDITOR GENERAL AND UNTIL
31 SUCH TIME AS THE AUDITOR GENERAL REPORTS THE SCHOOL DISTRICT'S COMPLIANCE
32 WITH THE UNIFORM SYSTEM OF FINANCIAL RECORDS.

33 C. The general budget limit and maintenance and operations section
34 of the budget for the current year and for the budget year if the school
35 district is not in compliance before the end of the current year, shall
36 be reduced by the amount determined in subsection B, PARAGRAPH 1 OF THIS
37 SECTION until the state board of education determines that the school
38 district is in compliance.

39 D. If compliance is determined by the state board of education in
40 the same year as the determination of noncompliance or in the first year
41 after the fiscal year of the determination of noncompliance, the resulting
42 adjustment to budgeted maintenance and operations and to the general
43 budget limit may be applied to the fiscal year of the determination of
44 noncompliance equal to the amount adjusted in that fiscal year or to the
45 current year equal to the amount adjusted in the current year. Previously
46 withheld monies that resulted from the determination of noncompliance
47 shall be returned in the year compliance is determined.

1 Sec. 2. Section 15-302, Arizona Revised Statutes, is amended to
2 read:

3 15-302. Powers and duties

4 A. The county school superintendent shall:

5 1. Distribute all laws, reports, circulars, instructions and forms
6 that the county school superintendent may receive for the use of school
7 officers.

8 2. Record all official acts.

9 3. Appoint governing board members of school districts to fill all
10 vacancies, but the term of the appointment shall be until the next regular
11 election for governing board members, at which time a successor shall be
12 elected to serve the unexpired portion of the term. A person who is
13 subject to registration as a sex offender in this state or in any other
14 jurisdiction is ineligible for appointment under this paragraph. Within
15 thirty days after notification of a vacancy, the school district governing
16 board may submit up to three names to the county school superintendent for
17 consideration of an appointment to fill the vacancy. The county school
18 superintendent is not required to appoint a governing board member from
19 the list of names submitted by the governing board. The county school
20 superintendent, if the county school superintendent deems it in the best
21 interest of the community, may call a special election to fill the
22 vacancies. If an election is called, the newly elected member shall serve
23 for the remainder of the unexpired portion of the term.

24 4. Make reports, when directed by the superintendent of public
25 instruction, showing matters relating to schools in the county as may be
26 required on the forms furnished by the superintendent of public
27 instruction.

28 5. Have such powers and perform such duties as otherwise prescribed
29 by law.

30 6. On or before October 1 of each year, report to the
31 superintendent of public instruction the amount of monies received from
32 state school funds, special school district taxes and other sources, the
33 total expenditures for school purposes and the balance on hand to the
34 credit of each school district at the close of the school year.

35 7. Contract with the board of supervisors for the board of
36 supervisors to conduct all regular school district elections.

37 8. Be responsible, in cooperation with the school district
38 governing boards and the board of supervisors, for all special school
39 district elections.

40 9. Maintain teacher and administrator certification records of
41 effective dates and expiration dates of teachers' and administrators'
42 certificates in compliance with guidelines prescribed in the uniform
43 system of financial records for those school districts for which the
44 county school superintendent is the fiscal agent. The county school
45 superintendent shall not draw a warrant in payment of a teacher's,
46 substitute teacher's or administrator's salary unless the teacher,

1 substitute teacher or administrator is legally certified during the fiscal
2 year in which the term for payment is demanded.

3 10. Notify a school district three years before the expiration of a
4 revenue control limit override that the school district's budget must be
5 adjusted in the final two years of the override pursuant to section
6 15-481, subsections ~~P~~ Q and ~~R~~ R, if the voters do not approve another
7 override.

8 11. In collaboration with the department of education and other
9 state agencies, assist school districts, charter schools, county free
10 library districts, municipal libraries, nonprofit and public libraries,
11 tribal libraries, private schools and tribal schools on using student
12 data, staff development, curriculum alignment and technology to improve
13 student performance.

14 12. Assist schools in meeting yearly adequate progress goals as
15 defined by criteria established by the state board of education and
16 implemented by the department of education.

17 B. At the request of school districts and charter schools, the
18 county school superintendent may provide discretionary programs in
19 addition to the programs prescribed in subsection A of this section.

20 C. The county school superintendent may:

21 1. Provide the services prescribed in subsections A and B of this
22 section in the county or jointly with two or more counties pursuant to
23 title 11, chapter 7, article 3.

24 2. Review the operations and finances, including expenditures, of
25 any school district that is located in the county.

26 D. Each county school superintendent may establish an advisory committee
27 to the office of the county school superintendent.

28 Sec. 3. Section 15-481, Arizona Revised Statutes, is amended to
29 read:

30 15-481. Override election; budget increases; eligibility;
31 informational pamphlet; notice; ballot; effect

32 A. If a proposed budget of a school district exceeds the aggregate
33 budget limit for the budget year, at least ninety days before the proposed
34 election the governing board shall order an override election to be held
35 on the first Tuesday following the first Monday in November as prescribed
36 by section 16-204, subsection F for the purpose of presenting the proposed
37 budget to the qualified electors of the school district who by a majority
38 of those voting either shall affirm or reject the budget. At the same
39 time as the order of the election, the governing board shall publicly
40 declare the deadline for submitting arguments, as set by the county school
41 superintendent pursuant to subsection B, paragraph 9 of this section, to
42 be submitted in the informational pamphlet and shall immediately post the
43 deadline in a prominent location on the district's website. In addition,
44 the governing board shall prepare an alternate budget that does not
45 include an increase in the budget of more than the amount allowed as
46 provided in section 15-905. If the qualified electors approve the
47 proposed budget, the governing board of the school district shall follow

1 the procedures prescribed in section 15-905 for adopting a budget that
2 includes the authorized increase. If the qualified electors disapprove
3 the proposed budget, the governing board shall follow the procedures
4 prescribed in section 15-905 for adopting a budget that does not include
5 the proposed increase or the portion of the proposed increase that exceeds
6 the amount authorized by a previously approved budget increase as
7 prescribed in subsection ~~P~~ Q of this section.

8 B. The county school superintendent shall prepare an informational
9 pamphlet on the proposed increase in the budget and a sample ballot and,
10 at least forty days before the election, shall transmit the informational
11 pamphlet and the sample ballot to the governing board of the school
12 district. The governing board, on receipt of the informational pamphlet
13 and the ballot, shall mail or distribute the informational pamphlet and
14 the ballot to the households in which qualified electors reside within the
15 school district at least thirty-five days before the election. Any
16 distribution of material concerning the proposed increase in the budget
17 shall not be conducted by children enrolled in the school district. The
18 informational pamphlet shall contain the following information:

19 1. The date of the election.

20 2. The voter's polling place and the times it is open.

21 3. The proposed total increase in the budget that exceeds the
22 amount allowed pursuant to section 15-905.

23 4. The total amount of the current year's budget, the total amount
24 of the proposed budget and the total amount of the alternate budget.

25 5. If the override is for a period of more than one year, a
26 statement indicating the number of years the proposed increase in the
27 budget would be in effect and the percentage of the school district's
28 revenue control limit that the district is requesting for the future
29 years.

30 6. The proposed total amount of revenues that will fund the
31 increase in the budget and the amount that will be obtained from a levy of
32 taxes on the taxable property within the school district for the first
33 year for which the budget increase was adopted.

34 7. The proposed amount of revenues that will fund the increase in
35 the budget and that will be obtained from other than a levy of taxes on
36 the taxable property within the school district for the first year for
37 which the budget increase was adopted.

38 8. The dollar amount and the purpose for which the proposed
39 increase in the budget is to be expended for the first year for which the
40 budget increase was adopted. The purpose statement shall only present
41 factual information in a neutral manner. Advocacy for the expenditures is
42 strictly limited to the arguments submitted pursuant to paragraph 9 of
43 this subsection.

44 9. At least two arguments, if submitted, but not more than ten
45 arguments for and two arguments, if submitted, but not more than ten
46 arguments against the proposed increase in the budget. The arguments
47 shall be in a form prescribed by the county school superintendent, and

1 each argument shall not exceed two hundred words. Arguments for the
2 proposed increase in the budget shall be provided in writing and signed by
3 the governing board. The ballot arguments for the proposed increase in
4 the budget shall be signed as the governing board of the school district
5 without listing any member's individual name for the arguments for the
6 proposed increase. If submitted, additional arguments in favor of the
7 proposed increase in the budget shall be provided in writing with a
8 signed, sworn statement by those in favor. Arguments against the proposed
9 increase in the budget shall be provided in writing with a signed, sworn
10 statement by those in opposition. If the argument is submitted by an
11 organization, it shall contain the sworn statement of two executive
12 officers of the organization. If the argument is submitted by a political
13 committee, it shall contain the sworn statement of the committee's
14 chairperson or treasurer. If the argument is submitted by an individual
15 and not on behalf of an organization, a political committee or any other
16 group, the ~~person~~ INDIVIDUAL shall submit the argument with a sworn,
17 notarized statement. The names of persons and entities submitting written
18 arguments shall be included in the informational pamphlet. Persons
19 signing the argument shall identify themselves by giving their residence
20 address and telephone number, which may not appear in the informational
21 pamphlet, except that the person's city or town and state of residence
22 shall appear in the pamphlet. Any argument that is submitted and that
23 does not comply with this paragraph may not be included in the pamphlet.
24 The county school superintendent shall review all factual statements
25 contained in the written arguments and correct any inaccurate statements
26 of fact. The superintendent shall not review and correct any portion of
27 the written arguments that are identified as statements of the author's
28 opinion. The county school superintendent shall make the written
29 arguments available to the public as provided in title 39, chapter 1,
30 article 2. A deadline for submitting arguments to be included in the
31 informational pamphlet shall be set by the county school superintendent.

32 10. A statement that the alternate budget shall be adopted by the
33 governing board if the proposed budget is not adopted by the qualified
34 electors of the school district.

35 11. The current limited property value and the net assessed
36 valuation provided by the department of revenue, the first year tax rate
37 for the proposed override and the estimated amount of the secondary
38 property taxes if the proposed budget is adopted for each of the
39 following:

40 (a) An owner-occupied residence whose assessed valuation is the
41 average assessed valuation of property classified as class three, as
42 prescribed by section 42-12003 for the current year in the school
43 district.

44 (b) An owner-occupied residence whose assessed valuation is
45 one-half of the assessed valuation of the residence in subdivision (a) of
46 this paragraph.

1 (c) An owner-occupied residence whose assessed valuation is twice
2 the assessed valuation of the residence in subdivision (a) of this
3 paragraph.

4 (d) A business whose assessed valuation is the average of the
5 assessed valuation of property classified as class one, as prescribed by
6 section 42-12001, paragraphs 12 and 13 for the current year in the school
7 district.

8 12. If the election is conducted pursuant to subsection L or M of
9 this section, the following information:

10 (a) An executive summary of the school district's most recent
11 capital improvement plan submitted to the school facilities oversight
12 board.

13 (b) A complete list of each proposed capital improvement that will
14 be funded with the budget increase and a description of the proposed cost
15 of each improvement, including a separate aggregation of capital
16 improvements for administrative purposes as defined by the school
17 facilities oversight board.

18 (c) The tax rate associated with each of the proposed capital
19 improvements and the estimated cost of each capital improvement for the
20 owner of a single family home that is valued at \$80,000.

21 C. For the purpose of this section, the school district may use its
22 staff, equipment, materials, buildings or other resources only to
23 distribute the informational pamphlet at the school district office or at
24 public hearings and to produce such information as required in subsection
25 B of this section. This subsection does not preclude school districts from
26 holding or participating in any public hearings at which testimony is
27 given by at least one person for the proposed increase and one person
28 against the proposed increase. Any written information provided by the
29 district pertaining to the override election shall include financial
30 information showing the estimated first year tax rate for the proposed
31 budget override amount.

32 D. If any amount of the proposed increase will be funded by a levy
33 of taxes in the district, the election prescribed in subsection A of this
34 section shall be held on the first Tuesday following the first Monday in
35 November as prescribed by section 16-204, subsection F. If the proposed
36 increase will be fully funded by revenues from other than a levy of taxes,
37 the elections prescribed in subsection A of this section shall be held on
38 any date prescribed by section 16-204. The elections shall be conducted
39 as nearly as practicable in the manner prescribed in article 1 of this
40 chapter, sections 15-422, ~~through 15-423~~, 15-424 and ~~section~~ 15-426,
41 relating to special elections, except that:

42 1. The notices required pursuant to section 15-403 shall be posted
43 not less than twenty-five days before the election.

44 2. Ballots shall be counted pursuant to title 16, chapter 4,
45 article 10.

46 E. If the election is to exceed the revenue control limit and if
47 the proposed increase will be fully funded by a levy of taxes on the

1 taxable property within the school district, the ballot shall contain the
2 words "budget increase, yes" and "budget increase, no", and the voter
3 shall signify the voter's desired choice. The ballot shall also contain
4 the amount of the proposed increase of the proposed budget over the
5 alternate budget, a statement that the amount of the proposed increase
6 will be based on a percentage of the school district's revenue control
7 limit in future years, if applicable, as provided in subsection ~~P~~ Q of
8 this section and the following statement:

9 Any budget increase authorized by this election shall be
10 entirely funded by a levy of taxes on the taxable property
11 within this school district for the year for which adopted and
12 for ____ subsequent years, shall not be realized from monies
13 furnished by the state and shall not be subject to the
14 limitation on taxes specified in article IX, section 18,
15 Constitution of Arizona. Based on the current net assessed
16 valuation used for secondary property tax purposes, to fund
17 the proposed increase in the school district's budget would
18 require an estimated tax rate of \$_____ per \$100 of
19 net assessed valuation used for secondary property tax
20 purposes and is in addition to the school district's tax rate
21 that will be levied to fund the school district's revenue
22 control limit allowed by law.

23 F. If the election is to exceed the revenue control limit and if
24 the proposed increase will be fully funded by revenues from other than a
25 levy of taxes on the taxable property within the school district, the
26 ballot shall contain the words "budget increase, yes" and "budget
27 increase, no", and the voter shall signify the voter's desired choice. The
28 ballot shall also contain:

29 1. The amount of the proposed increase of the proposed budget over
30 the alternate budget.

31 2. A statement that the amount of the proposed increase will be
32 based on a percentage of the school district's revenue control limit in
33 future years, if applicable, as provided in subsection ~~P~~ Q of this
34 section.

35 3. The following statement:

36 Any budget increase authorized by this election shall be
37 entirely funded by this school district with revenues from
38 other than a levy of taxes on the taxable property within the
39 school district for the year for which adopted and for ____
40 subsequent years and shall not be realized from monies
41 furnished by the state.

42 G. Except as provided in subsection H of this section, the maximum
43 budget increase that may be requested and authorized as provided in
44 subsection E or F of this section or the combination of subsections E and
45 F of this section is fifteen percent of the revenue control limit as
46 provided in section 15-947, subsection A for the budget year. If a school
47 district requests an override pursuant to section 15-482 or to continue

1 with a budget override pursuant to section 15-482 for pupils in
 2 kindergarten programs and grades one through three that was authorized
 3 before December 31, 2008, the maximum budget increase that may be
 4 requested and authorized as provided in subsection E or F of this section
 5 or the combination of subsections E and F of this section is ten percent
 6 of the revenue control limit as provided in section 15-947, subsection A
 7 for the budget year.

8 H. Special budget override provisions for school districts with a
 9 student count of less than one hundred fifty-four in kindergarten programs
 10 and grades one through eight or with a student count of less than one
 11 hundred seventy-six in grades nine through twelve are as follows:

12 1. The maximum budget increase that may be requested and authorized
 13 as provided in subsections E and F of this section is the greater of the
 14 amount prescribed in subsection G of this section or a limit computed as
 15 follows:

16 (a) For common or unified districts with a student count of less
 17 than one hundred fifty-four in kindergarten programs and grades one
 18 through eight, the limit computed as prescribed in item (i) or (ii) of
 19 this subdivision, whichever is appropriate:

20 (i)

21	Small School	Support Level Weight		Phase Down
22	Student	for Small Isolated		Reduction
23	<u>Count</u>	<u>School Districts</u>	<u>Base Level</u>	<u>Factor</u>
24	_____ - 125	x 1.358 + (0.0005 x	x \$ _____	= \$ _____
25		(500 - Student Count))		
26			Small Isolated	
27	Phase Down	Phase Down	School District	
28	<u>Base</u>	<u>Reduction Factor</u>	<u>Elementary Limit</u>	
29	\$150,000 -	\$ _____	= \$ _____	

30 (ii)

31	Small School	Support Level Weight		Phase Down
32	Student	for Small		Reduction
33	<u>Count</u>	<u>School Districts</u>	<u>Base Level</u>	<u>Factor</u>
34	_____ - 125	x 1.278 + (0.0003 x	x \$ _____	= \$ _____
35		(500 - Student Count))		
36			Small	
37	Phase Down	Phase Down	School District	
38	<u>Base</u>	<u>Reduction Factor</u>	<u>Elementary Limit</u>	
39	\$150,000 -	\$ _____	= \$ _____	

40 (b) For unified or union high school districts with a student count
 41 of less than one hundred seventy-six in grades nine through twelve, the
 42 limit computed as prescribed in item (i) or (ii) of this subdivision,
 43 whichever is appropriate:

1 (i)
 2 Small School Support Level Weight Phase Down
 3 Student Student for Small Isolated Reduction
 4 Count Count Limit School Districts Base Level Factor
 5 _____ - 100 x 1.468 + (0.0005 x x \$ _____ = \$ _____
 6 _____ (500 - Student Count))
 7
 8 Phase Down Phase Down Small Isolated
 9 Base Reduction Factor District
 10 \$350,000 - \$ _____ = \$ _____ Secondary Limit
 11 (ii)
 12 Small School Support Level Weight Phase Down
 13 Student Student for Small Reduction
 14 Count Count Limit School Districts Base Level Factor
 15 _____ - 100 x 1.398 + (0.0004 x x \$ _____ = \$ _____
 16 _____ (500 - Student Count))
 17
 18 Phase Down Phase Down Small
 19 Base Reduction Factor School District
 20 \$350,000 - \$ _____ = \$ _____ Secondary Limit
 21 (c) If both subdivisions (a) and (b) of this paragraph apply to a
 22 unified school district, its limit for the purposes of this paragraph is
 23 the combination of its elementary limit and its secondary limit.
 24 (d) If only subdivision (a) or (b) of this paragraph applies to a
 25 unified school district, the district's limit for the purposes of this
 26 paragraph is the sum of the limit computed as provided in subdivision (a)
 27 or (b) of this paragraph plus ten percent of the revenue control limit
 28 attributable to those grade levels that do not meet the eligibility
 29 requirements of this subsection. If a school district budgets monies
 30 outside the revenue control limit pursuant to section 15-949, subsection
 31 E, the district's limit for the purposes of this paragraph is only the ten
 32 percent of the revenue control limit attributable to those grade levels
 33 that are not included under section 15-949, subsection E. For the
 34 purposes of this subdivision, the revenue control limit is separated into
 35 elementary and secondary components based on the weighted student count as
 36 provided in section 15-971, subsection B, paragraph 2, subdivision (a).
 37 2. If a school district utilizes this subsection to request an
 38 override of more than one year, the ballot shall include an estimate of
 39 the amount of the proposed increase in the future years in place of the
 40 statement that the amount of the proposed increase will be based on a
 41 percentage of the school district's revenue control limit in future years,
 42 as prescribed in subsections E and F of this section.
 43 3. Notwithstanding subsection ~~P~~ Q of this section, the maximum
 44 period of an override authorized pursuant to this subsection is five
 45 years.
 46 4. Subsection ~~P~~ Q, paragraphs 1 and 2 of this section do not apply
 47 to overrides authorized pursuant to this subsection.

1 I. If the election is to exceed the revenue control limit as
2 provided in section 15-482 and if the proposed increase will be fully
3 funded by a levy of taxes on the taxable property within the school
4 district, the ballot shall contain the words "budget increase, yes" and
5 "budget increase, no", and the voter shall signify the voter's desired
6 choice. The ballot shall also contain the amount of the proposed increase
7 of the budget over the alternate budget, a statement that the amount of
8 the proposed increase will be based on a percentage of the school
9 district's revenue control limit in future years, if applicable, as
10 provided in subsection ~~R~~ R of this section, and the following statement:

11 Any budget increase authorized by this election shall be
12 entirely funded by a levy of taxes on the taxable property
13 within this school district for the year for which adopted and
14 for _____ subsequent years, shall not be realized from monies
15 furnished by the state and shall not be subject to the
16 limitation on taxes specified in article IX, section 18,
17 Constitution of Arizona. Based on the current net assessed
18 valuation used for secondary property tax purposes, to fund
19 the proposed increase in the school district's budget that
20 will be funded by a levy of taxes on the taxable property
21 within this school district would require an estimated tax
22 rate of \$_____ per \$100 of net assessed valuation used
23 for secondary property tax purposes and is in addition to the
24 school district's tax rate that will be levied to fund the
25 school district's revenue control limit allowed by law.

26 J. If the election is to exceed the revenue control limit as
27 provided in section 15-482 and if the proposed increase will be fully
28 funded by revenues other than a levy of taxes on the taxable property
29 within the school district, the ballot shall contain the words "budget
30 increase, yes" and "budget increase, no", and the voter shall signify the
31 voter's desired choice. The ballot shall also contain the amount of the
32 proposed increase of the proposed budget over the alternate budget, a
33 statement that the amount of the proposed increase will be based on a
34 percentage of the school district's revenue control limit in future years,
35 if applicable, as provided in subsection ~~R~~ R of this section and the
36 following statement:

37 Any budget increase authorized by this election shall be
38 entirely funded by this school district with revenues from
39 other than a levy of taxes on the taxable property within the
40 school district for the year for which adopted and for _____
41 subsequent years and shall not be realized from monies
42 furnished by the state.

43 K. The maximum budget increase that may be requested and authorized
44 as provided in subsection I or J of this section, or a combination of both
45 of these subsections, is five percent of the revenue control limit as
46 provided in section 15-947, subsection A for the budget year. For a
47 common school district not within a high school district or a common

1 school district within a high school district that offers instruction in
2 high school subjects as provided in section 15-447, five percent of the
3 revenue control limit means five percent of the revenue control limit
4 attributable to the weighted student count in preschool programs for
5 children with disabilities, kindergarten programs and grades one through
6 eight as provided in section 15-971, subsection B. For a unified school
7 district, five percent of the revenue control limit means five percent of
8 the revenue control limit attributable to the weighted student count in
9 preschool programs for children with disabilities, kindergarten programs
10 and grades one through twelve. For a union high school district, five
11 percent of the revenue control limit means five percent of the revenue
12 control limit attributable to the weighted student count in grades nine
13 through twelve.

14 L. If the election is to exceed district additional assistance and
15 if the proposed increase will be fully funded by a levy of taxes on the
16 taxable property within the school district, the ballot shall contain the
17 words "budget increase, yes" and "budget increase, no", and the voter
18 shall signify the voter's desired choice. An election held pursuant to
19 this subsection shall be held on the first Tuesday after the first Monday
20 of November. The ballot shall also contain the amount of the proposed
21 increase of the proposed budget over the alternate budget and the
22 following statement:

23 Any budget increase authorized by this election shall be
24 entirely funded by a levy of taxes on the taxable property
25 within this school district for the year in which adopted and
26 for _____ subsequent years, shall not be realized from monies
27 furnished by the state and shall not be subject to the
28 limitation on taxes specified in article IX, section 18,
29 Constitution of Arizona. Based on the current net assessed
30 valuation used for secondary property tax purposes, to fund
31 the proposed increase in the school district's budget would
32 require an estimated tax rate of \$_____ per \$100 of net
33 assessed valuation used for secondary property tax purposes
34 and is in addition to the school district's tax rate that will
35 be levied to fund the school district's district additional
36 assistance allowed by law.

37 M. If the election is to exceed district additional assistance and
38 if the proposed increase will be fully funded by revenues from other than
39 a levy of taxes on the taxable property within the school district, the
40 ballot shall contain the words "budget increase, yes" and "budget
41 increase, no", and the voter shall signify the voter's desired choice. An
42 election held pursuant to this subsection shall be held on the first
43 Tuesday after the first Monday of November. The ballot shall also contain
44 the amount of the proposed increase of the proposed budget over the
45 alternate budget and the following statement:

46 Any budget increase authorized by this election shall be
47 entirely funded by this school district with revenues from

1 other than a levy of taxes on the taxable property within the
2 school district for the year in which adopted and for _____
3 subsequent years and shall not be realized from monies
4 furnished by the state.

5 N. If the election is to exceed a combination of the revenue
6 control limit as provided in subsection E or F of this section, the
7 revenue control limit as provided in subsection I or J of this section or
8 district additional assistance as provided in subsection L or M of this
9 section, the ballot shall be prepared so that the voters may vote on each
10 proposed increase separately and shall contain statements required in the
11 same manner as if each proposed increase were submitted separately.

12 O. IF A SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
13 EIGHTEEN MONTHS AFTER RECEIVING NOTICE FROM THE AUDITOR GENERAL PURSUANT
14 TO SECTION 15-271, THE SCHOOL DISTRICT GOVERNING BOARD MAY NOT ORDER AN
15 OVERRIDE ELECTION AS PROVIDED IN SUBSECTION L OR M OF THIS SECTION UNTIL
16 THE SCHOOL DISTRICT HAS CORRECTED ANY DEFICIENCIES. FOR THE PURPOSES OF
17 THIS SUBSECTION, THE SCHOOL DISTRICT IS DEEMED TO HAVE CORRECTED ANY
18 DEFICIENCIES FROM AND AFTER THE DATE THAT THE AUDITOR GENERAL REPORTS THAT
19 THE SCHOOL DISTRICT IS IN COMPLIANCE WITH THE UNIFORM SYSTEM OF FINANCIAL
20 RECORDS.

21 ~~P.~~ P. If the election provides for a levy of taxes on the taxable
22 property within the school district, at least thirty days before the
23 election, the department of revenue shall provide the school district
24 governing board and the county school superintendent with the current net
25 assessed valuation of the school district. The governing board and the
26 county school superintendent shall use the current net assessed valuation
27 of the school district to translate the amount of the proposed dollar
28 increase in the budget of the school district over that allowed by law
29 into a tax rate figure.

30 ~~P.~~ Q. If the voters in a school district vote to adopt a budget in
31 excess of the revenue control limit as provided in subsection E or F of
32 this section, any additional increase shall be included in the aggregate
33 budget limit for each of the years authorized. Any additional increase
34 shall be excluded from the determination of equalization assistance. The
35 school district governing board, however, may levy on the net assessed
36 valuation used for secondary property tax purposes of the property in the
37 school district the additional increase if adopted under subsection E of
38 this section for the period of one year, two years or five through seven
39 years as authorized. If an additional increase is approved as provided in
40 subsection F of this section, the school district governing board may only
41 use revenues derived from the school district's prior year's maintenance
42 and operation fund ending cash balance to fund the additional increase. If
43 a budget increase was previously authorized and will be in effect for the
44 budget year or budget year and subsequent years, as provided in subsection
45 E or F of this section, the governing board may request a new budget
46 increase as provided in the same subsection under which the prior budget
47 increase was adopted, which shall not exceed the maximum amount allowed

1 under subsection G of this section. If the voters in the school district
2 authorize the new budget increase amount, the existing budget increase no
3 longer is in effect. If the voters in the school district do not
4 authorize the budget increase amount, the existing budget increase remains
5 in effect for the time period for which it was authorized. The maximum
6 additional increase authorized as provided in subsection E or F of this
7 section and the additional increase that is included in the aggregate
8 budget limit is based on a percentage of a school district's revenue
9 control limit in future years, if the budget increase is authorized for
10 more than one year. If the additional increase:

11 1. Is for two years, the proposed increase in the second year is
12 equal to the initial proposed percentage increase.

13 2. Is for five years or more, the proposed increase is equal to the
14 initial proposed percentage increase in the following years of the
15 proposed increase, except that in the next to last year it is two-thirds
16 of the initial proposed percentage increase and it is one-third of the
17 initial proposed percentage increase in the last year of the proposed
18 increase.

19 ~~R.~~ R. If the voters in a school district vote to adopt a budget in
20 excess of the revenue control limit as provided in subsection I or J of
21 this section, any additional increase shall be included in the aggregate
22 budget limit for each of the years authorized. Any additional increase
23 shall be excluded from the determination of equalization assistance. The
24 school district governing board, however, may levy on the net assessed
25 valuation used for secondary property tax purposes of the property in the
26 school district the additional increase if adopted under subsection I of
27 this section for the period of one year, two years or five through seven
28 years as authorized. If an additional increase is approved as provided in
29 subsection J of this section, the increase may only be budgeted and
30 expended if sufficient monies are available in the maintenance and
31 operation fund of the school district. If a budget increase was
32 previously authorized and will be in effect for the budget year or budget
33 year and subsequent years, as provided in subsection I or J of this
34 section, the governing board may request a new budget increase as provided
35 in the same subsection under which the prior budget increase was adopted
36 that does not exceed the maximum amount permitted under subsection K of
37 this section. If the voters in the school district authorize the new
38 budget increase amount, the existing budget increase no longer is in
39 effect. If the voters in the school district do not authorize the budget
40 increase amount, the existing budget increase remains in effect for the
41 time period for which it was authorized. The maximum additional increase
42 authorized as provided in subsection I or J of this section and the
43 additional increase that is included in the aggregate budget limit is
44 based on a percentage of a school district's revenue control limit in
45 future years, if the budget increase is authorized for more than one year.
46 If the additional increase:

1 1. Is for two years, the proposed increase in the second year is
2 equal to the initial proposed percentage increase.

3 2. Is for five years or more, the proposed increase is equal to the
4 initial proposed percentage increase in the following years of the
5 proposed increase, except that in the next to last year it is two-thirds
6 of the initial proposed percentage increase and it is one-third of the
7 initial proposed percentage increase in the last year of the proposed
8 increase.

9 ~~R.~~ S. If the voters in a school district vote to adopt a budget in
10 excess of district additional assistance as provided in subsection L of
11 this section, any additional increase shall be included in the aggregate
12 budget limit for each of the years authorized. The additional increase
13 shall be excluded from the determination of equalization assistance. The
14 school district governing board, however, may levy on the net assessed
15 valuation used for secondary property tax purposes of the property in the
16 school district the additional increase for the period authorized but not
17 to exceed ten years. For overrides approved by a vote of the qualified
18 electors of the school district at an election held from and after
19 October 31, 1998, the period of the additional increase prescribed in this
20 subsection shall not exceed seven years for any capital override election.

21 ~~S.~~ T. If the voters in a school district vote to adopt a budget in
22 excess of district additional assistance as provided in subsection M of
23 this section, any additional increase shall be included in the aggregate
24 budget limit for each of the years authorized. The additional increase
25 shall be excluded from the determination of equalization assistance. The
26 school district governing board may only use revenues derived from the
27 school district's prior year's maintenance and operation fund ending cash
28 balance and capital outlay fund ending cash balance to fund the additional
29 increase for the period authorized but not to exceed ten years. For
30 overrides approved by a vote of the qualified electors of the school
31 district at an election held from and after October 31, 1998, the period
32 of the additional increase prescribed in this subsection shall not exceed
33 seven years for any capital override election.

34 ~~T.~~ U. In addition to subsections ~~P.~~ Q and ~~S.~~ T of this section,
35 from the maintenance and operation fund and capital outlay fund ending
36 cash balances, the school district governing board shall first use any
37 available revenues to reduce its primary tax rate to zero and shall use
38 any remaining revenues to fund the additional increase authorized as
39 provided in subsections F and M of this section.

40 ~~H.~~ V. If the voters in a school district disapprove the proposed
41 budget, the alternate budget that, except for any budget increase
42 authorized by a prior election, does not include an increase in the budget
43 in excess of the amount provided in section 15-905 shall be adopted by the
44 governing board as provided in section 15-905.

1 ~~W.~~ W. The governing board may request that any override election
2 be cancelled if any change in chapter 9 of this title changes the amount
3 of the aggregate budget limit as provided in section 15-905. The request
4 to cancel the override election shall be made to the county school
5 superintendent at least eighty days before the date of the scheduled
6 override election.

7 ~~W.~~ X. For any election conducted pursuant to subsection L or M of
8 this section:

9 1. The ballot shall include the following statement in addition to
10 any other statement required by this section:

11 The capital improvements that are proposed to be funded
12 through this override election are to exceed the state
13 standards and are in addition to monies provided by the state.
14 _____ school district is proposing to increase its
15 budget by \$_____ to fund capital improvements over and
16 above those funded by the state. Under the students first
17 capital funding system, _____ school district is entitled
18 to state monies for new construction and renovation of school
19 buildings in accordance with state law.

20 2. The ballot shall contain the words "budget increase, yes" and
21 "budget increase, no", and the voter shall signify the voter's desired
22 choice.

23 3. At least eighty-five days before the election, the school
24 district shall submit proposed ballot language to the director of the
25 Arizona legislative council. The director of the Arizona legislative
26 council shall review the proposed ballot language to determine whether the
27 proposed ballot language complies with this section. If the director of
28 the Arizona legislative council determines that the proposed ballot
29 language does not comply with this section, the director, within ten
30 calendar days after receiving the proposed ballot language, shall notify
31 the school district of the director's objections, and the school district
32 shall resubmit revised ballot language to the director for approval.

33 ~~Y.~~ Y. If the voters approve the budget increase pursuant to
34 subsection L or M of this section, the school district shall not use the
35 override proceeds for any purposes other than the proposed capital
36 improvements listed in the informational pamphlet, except that up to ten
37 percent of the override proceeds may be used for general capital expenses,
38 including cost overruns of proposed capital improvements.

39 ~~Z.~~ Z. Each school district that currently increases its budget
40 pursuant to this section shall hold a public meeting each year between
41 September 1 and October 31 at which an update of the programs or capital
42 improvements financed through the override is discussed and at which the
43 public is allowed an opportunity to comment and:

44 1. If the increase is pursuant to subsection L or M of this
45 section, at a minimum, the update shall include the progress of capital
46 improvements financed through the override, a comparison of the current
47 status and the original projections on the construction of capital

1 improvements, the costs of capital improvements and the costs of capital
2 improvements in progress or completed since the prior meeting and the
3 future capital plans of the school district. The school district shall
4 include in the public meeting a discussion of the school district's use of
5 state capital aid and voter-approved bonding in funding capital
6 improvements, if any.

7 2. If the increase is pursuant to subsection E, F, I or J of this
8 section, the update shall include at a minimum the amount expended in the
9 previous fiscal year and the amount included in the current budget for
10 each of the purposes listed in the informational pamphlet prescribed by
11 subsection B of this section.

12 ~~7A.~~ AA. SUBJECT TO THE REQUIREMENTS PRESCRIBED BY SUBSECTION O OF
13 THIS SECTION, if a budget in excess of district additional assistance was
14 previously adopted by the voters in a school district and will be in
15 effect for the budget year or budget year and subsequent years, as
16 provided in subsection L or M of this section, the governing board may
17 request an additional budget in excess of district additional assistance.
18 If the voters in a school district authorize the additional budget in
19 excess of district additional assistance, the existing district additional
20 assistance budget increase remains in effect.

21 ~~AA.~~ BB. Notwithstanding any other law, the maximum budget increase
22 that may be authorized pursuant to subsection L or M of this section is
23 ten percent of the school district's revenue control limit.

24 ~~BB.~~ CC. If the election is to continue to exceed the revenue
25 control limit and if the proposed override will be fully funded by a
26 continuation of a levy of taxes on the taxable property in the school
27 district, the ballot shall contain the words "budget override
28 continuation, yes" and "budget override continuation, no", and the voter
29 shall signify the voter's desired choice. The ballot shall also contain
30 the amount of the proposed continuation of the budget increase of the
31 proposed budget over the alternate budget, a statement that the amount of
32 the proposed increase will be based on a percentage of the school
33 district's revenue control limit in future years, if applicable, as
34 provided in subsection ~~P~~ Q of this section and the following statement:

35 Any budget increase continuation authorized by this
36 election shall be entirely funded by a levy of taxes on the
37 taxable property in this school district for the year for
38 which adopted and for _____ subsequent years, shall not be
39 realized from monies furnished by the state and shall not be
40 subject to the limitation on taxes specified in article IX,
41 section 18, Constitution of Arizona. Based on the current net
42 assessed valuation used for secondary property tax purposes,
43 to fund the proposed continuation of the increase in the
44 school district's budget would require an estimated
45 continuation of a tax rate of \$_____ per \$100 of
46 assessed valuation used for secondary property tax purposes
47 and is in addition to the school district's tax rate that will

1 be levied to fund the school district's revenue control limit
2 allowed by law.
3 ~~cc.~~ DD. If the election is to continue to exceed the revenue
4 control limit as provided in section 15-482 and if the proposed override
5 will be fully funded by a continuation of a levy of taxes on the taxable
6 property in the school district, the ballot shall contain the words
7 "budget override continuation, yes" and "budget override continuation,
8 no", and the voter shall signify the voter's desired choice. The ballot
9 shall also contain the amount of the proposed continuation of the budget
10 increase of the proposed budget over the alternate budget, a statement
11 that the amount of the proposed increase will be based on a percentage of
12 the school district's revenue control limit in future years, if
13 applicable, as provided in subsection ~~P~~ Q of this section and the
14 following statement:

15 Any budget increase continuation authorized by this
16 election shall be entirely funded by a levy of taxes on the
17 taxable property in this school district for the year for which
18 adopted and for _____ subsequent years, shall not be realized
19 from monies furnished by the state and shall not be subject to
20 the limitation on taxes specified in article IX, section 18,
21 Constitution of Arizona. Based on the current net assessed
22 valuation used for secondary property tax purposes, to fund the
23 proposed continuation of the increase in the school district's
24 budget would require an estimated continuation of a tax rate of
25 \$_____ per \$100 of net assessed valuation used for
26 secondary property tax purposes and is in addition to the
27 school district's tax rate that will be levied to fund the
28 school district's revenue control limit allowed by law.

29 Sec. 4. Section 15-491, Arizona Revised Statutes, is amended to
30 read:

31 15-491. Elections on school property; exceptions

32 A. The governing board of a school district may, and on petition of
33 fifteen percent of the school electors as shown by the poll list at the
34 last preceding annual school election shall, call an election for the
35 following purposes:

- 36 1. To locate or change the location of school buildings.
- 37 2. To purchase or sell school sites or buildings or sell school
38 sites pursuant to section 15-342 or to build school buildings, but the
39 authorization by vote of the school district shall not necessarily specify
40 the site to be purchased.
- 41 3. To decide whether the bonds of the school district shall be
42 issued and sold for the purpose of raising monies for purchasing or
43 leasing school lots, for building or renovating school buildings, for
44 supplying school buildings with furniture, equipment and technology, for
45 improving school grounds, for purchasing pupil transportation vehicles or
46 for liquidating any indebtedness already incurred for such purposes. Bonds
47 issued for furniture, equipment and technology, other than fixtures, shall

1 mature not later than the July 1 that follows the fifth year after the
2 bonds were issued. A school district shall not issue class B bonds until
3 the school district has obligated in contract the entire proceeds of any
4 class A bonds issued by the school district. The total amount of class A
5 and class B bonds issued by a school district shall not exceed the debt
6 limitations prescribed in article IX, sections 8 and 8.1, Constitution of
7 Arizona.

8 4. To lease for twenty or more years, as lessor or as lessee,
9 school buildings or grounds. Approval by a majority of the school
10 district electors voting authorizes the governing board to negotiate for
11 and enter into a lease. The ballot shall list the school buildings or
12 grounds for which a lease is sought. If the governing board does not
13 enter into a lease of twenty or more years of the school buildings or
14 grounds listed on the ballot within twenty years after the date of the
15 election and the board continues to seek such a lease, the governing board
16 shall call a special election to reauthorize the board to negotiate for
17 and to enter into a lease of twenty or more years.

18 5. To change the list of capital projects or the purposes
19 authorized by prior voter approval to issue bonds.

20 6. To extend from six to ten years the time period to issue class B
21 bonds authorized in 2009 or earlier. Elections pursuant to this paragraph
22 may not be held later than the sixth November after the election approving
23 the issuance of the bonds.

24 B. A petition is not required for holding the first election to be
25 held in a joint common school district for any of the purposes specified
26 in subsection A of this section. The certification of election results
27 required by section 15-493 shall be made to the board of supervisors of
28 the jurisdictional county.

29 C. When the election is called to determine whether or not bonds
30 of the school district shall be issued and sold for the purposes
31 enumerated in the call for the election, the question shall be submitted
32 to the vote of the qualified electors of the school district as defined in
33 section 15-401 and subject to section 15-402.

34 D. The governing board shall order the election to be held and the
35 election notice and procedures to be conducted in the manner prescribed in
36 title 35, chapter 3, article 3. If a petition for an election has been
37 filed with the governing board as provided in subsection A of this
38 section, the board shall act on the petition within sixty days by ordering
39 the election to be held as provided in this subsection. If a school
40 district bond election is scheduled for the same date a school district
41 will hold an override election, the governing body shall deliver a copy of
42 the notice of election and ballot to the county school superintendent who
43 shall include the notice of election and ballot with the informational
44 pamphlet and ballot prepared for the override election. Mailing of the
45 information required for both the override and bond elections shall
46 constitute compliance with the notice provisions of this section.

1 E. The elections to be held pursuant to this section shall only be
2 held on dates prescribed by section 16-204, except that elections held
3 pursuant to this section to decide whether class B bonds shall be issued,
4 or any other obligation incurred that will require the assessment of
5 secondary property taxes, shall only be held on the first Tuesday after
6 the first Monday of November.

7 F. Subsection A, paragraph 2 of this section does not apply to the
8 sale of school property if the market value of the school property is less
9 than \$50,000.

10 G. Bond counsel fees, financial advisory fees, printing costs and
11 paying agent and registrar fees for bonds issued pursuant to an election
12 under this section shall be paid from either the amount authorized by the
13 qualified electors of the school district or current operating funds. Bond
14 election expenses shall be paid from current operating funds only.

15 H. For any election conducted to decide whether class B bonds will
16 be issued pursuant to this section:

17 1. Except as provided in paragraph 2 of this subsection, the ballot
18 shall include the following statement:

19 The capital improvements that are proposed to be funded
20 through this bond issuance are to exceed the state standards
21 and are in addition to monies provided by the state.

22 _____ school district is proposing to issue class B
23 general obligation bonds totaling \$_____ to fund capital
24 improvements over and above those funded by the state. Under
25 the students first capital funding system, _____ school
26 district is entitled to state monies for new construction and
27 renovation of school buildings in accordance with state law.

28 2. For a school district that is a career technical education
29 district, the ballot shall include the following statement:

30 _____, a career technical education district, is
31 proposing to issue class B general obligation bonds totaling
32 \$_____ to fund capital improvements at a campus owned or
33 operated and maintained by the career technical education
34 district.

35 3. The ballot shall conform to the requirements of title 35,
36 chapter 3, article 3.

37 4. At least eighty-five days before the election, the school
38 district shall submit proposed ballot language to the county school
39 superintendent and the director of the Arizona legislative council. The
40 director of the Arizona legislative council shall review the proposed
41 ballot language to determine whether the proposed ballot language complies
42 with this section. If the director of the Arizona legislative council
43 determines that the proposed ballot language does not comply with this
44 section, the director, within ten calendar days after receiving the
45 proposed ballot language, shall notify the school district and the county
46 school superintendent of the director's objections, and the school

1 district shall resubmit revised ballot language to the director for
2 approval.

3 5. Not later than thirty-five days before a class B bond election
4 conducted pursuant to this section, the school district shall mail an
5 informational pamphlet prepared by the county school superintendent to
6 each household that contains a qualified elector in the school district.
7 The informational pamphlet shall contain, at a minimum, the following
8 information:

9 (a) An executive summary of the school district's most recent
10 capital plan submitted to the school facilities oversight board.

11 (b) A complete list of each proposed capital improvement that will
12 be funded with the proceeds of the bonds and a description of the proposed
13 cost of each improvement, including a separate aggregation of capital
14 improvements for administrative purposes as defined by the school
15 facilities oversight board.

16 (c) The tax rate associated with each of the proposed capital
17 improvements and the estimated cost of each capital improvement for the
18 owner of a single family home that is valued at \$100,000.

19 I. For any election conducted to decide whether impact aid revenue
20 bonds shall be issued pursuant to this section:

21 1. The ballot shall include the following statement:

22 The capital improvements that are proposed to be funded
23 through this bond issuance are to exceed the state standards
24 and are in addition to monies provided by the state.

25 _____ school district is proposing to issue impact
26 aid revenue bonds totaling \$_____ to fund capital
27 improvements over and above those funded by the state. Under
28 the students first capital funding system, _____ school
29 district is entitled to state monies for new construction and
30 renovation of school buildings in accordance with state law.

31 2. The ballot shall contain the words "bond approval, yes" and
32 "bond approval, no", and the voter shall signify the voter's desired
33 choice.

34 3. At least eighty-five days before the election, the school
35 district shall submit proposed ballot language to the director of the
36 legislative council. The director of the legislative council shall review
37 the proposed ballot language to determine whether the proposed ballot
38 language complies with this section. If the director of the legislative
39 council determines that the proposed ballot language does not comply with
40 this section, the director, within ten calendar days after receiving the
41 proposed ballot language, shall notify the school district of the
42 director's objections, and the school district shall resubmit revised
43 ballot language to the director for approval.

44 4. Not later than thirty-five days before an impact aid revenue
45 bond election conducted pursuant to this section, the school district
46 shall mail an informational pamphlet prepared by the county school
47 superintendent to each household that contains a qualified elector in the

1 school district. The informational pamphlet shall contain, at a minimum,
2 the following information:

3 (a) The date of the election.

4 (b) The voter's polling place and the times it is open.

5 (c) An executive summary of the school district's most recent
6 capital plan submitted to the school facilities oversight board.

7 (d) A complete list of each proposed capital improvement that will
8 be funded with the proceeds of the bonds and a description of the proposed
9 cost of each improvement, including a separate aggregation of capital
10 improvements for administrative purposes as defined by the school
11 facilities oversight board.

12 (e) A statement that impact aid revenue bonds will be fully funded
13 by aid that the school district receives from the federal government and
14 do not require a levy of taxes in the district.

15 (f) A statement that if the bonds are approved, the first priority
16 for the impact aid will be to pay the debt service for the bonds and that
17 other uses of the monies are prohibited until the debt service obligation
18 is met.

19 (g) A statement that if the impact aid revenue bonds are approved,
20 the school district shall not issue or sell class B bonds while the
21 district has existing indebtedness from impact aid revenue bonds, except
22 for bonds issued to refund any bonds issued by the board.

23 J. If the voters approve the issuance of school district class B
24 bonds or impact aid revenue bonds, the school district shall not use the
25 bond proceeds for any purposes other than the proposed capital
26 improvements listed in the informational pamphlet, except that up to ten
27 percent of the bond proceeds may be used for general capital expenses,
28 including cost overruns of proposed capital improvements. The proposed
29 capital improvements may be changed by a subsequent election as provided
30 by this section.

31 K. Each school district that issues bonds under this section shall
32 hold a public meeting each year between September 1 and October 31, until
33 the bond proceeds are spent, at which an update of the progress of capital
34 improvements financed through bonding is discussed and at which the public
35 is allowed an opportunity to comment. At a minimum, the update shall
36 include a comparison of the current status and the original projections on
37 the construction of capital improvements, the costs of capital
38 improvements and the costs of capital improvements in progress or
39 completed since the prior meeting and the future capital bonding plans of
40 the school district. The school district shall include in the public
41 meeting a discussion of the school district's use of state capital aid and
42 voter-approved capital overrides in funding capital improvements, if any.

43 L. IF A SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
44 EIGHTEEN MONTHS AFTER RECEIVING NOTICE FROM THE AUDITOR GENERAL PURSUANT
45 TO SECTION 15-271, THE SCHOOL DISTRICT GOVERNING BOARD MAY NOT CALL AN
46 ELECTION FOR THE PURPOSES SPECIFIED IN SUBSECTION A, PARAGRAPH 3 OR 5 OF
47 THIS SECTION UNTIL THE SCHOOL DISTRICT HAS CORRECTED ANY

1 DEFICIENCIES. FOR THE PURPOSES OF THIS SUBSECTION, THE SCHOOL DISTRICT IS
2 DEEMED TO HAVE CORRECTED ANY DEFICIENCIES FROM AND AFTER THE DATE THAT THE
3 AUDITOR GENERAL REPORTS THAT THE SCHOOL DISTRICT IS IN COMPLIANCE WITH THE
4 UNIFORM SYSTEM OF FINANCIAL RECORDS.

5 ~~M.~~ M. If an election is held to change the purpose or list of
6 capital projects authorized by prior voter approval to issue bonds
7 pursuant to subsection A, paragraph 5 of this section, the following
8 requirements apply:

9 1. The election may be held only on the first Tuesday after the
10 first Monday in November.

11 2. Not later than thirty-five days before the election, the school
12 district shall mail an informational pamphlet prepared by the county
13 school superintendent to each household in the school district that
14 contains a qualified elector. The informational pamphlet shall contain, at
15 a minimum, the following information:

16 (a) The date of the election.

17 (b) The voter's polling place and the times it is open.

18 (c) A statement as to why the election was called.

19 (d) A complete list of each proposed capital improvement that is in
20 addition to the initial capital improvements presented in the
21 informational pamphlet when the bonds were approved and the proposed cost
22 of each improvement, including a separate aggregation of capital
23 improvements for administrative purposes as defined by the school
24 facilities oversight board.

25 (e) A complete list of each capital improvement that was presented
26 in the informational pamphlet when the bonds were initially approved and
27 that is proposed to be eliminated or to have its cost reduced, and the
28 proposed cost of each improvement, including a separate aggregation of
29 capital improvements for administrative purposes as defined by the school
30 facilities oversight board.

31 (f) Arguments for and against the proposed change, if submitted, as
32 provided by section 15-481, subsection B, paragraph 9. The ballot
33 arguments for the proposed change shall be signed as the governing board
34 of the school district without listing any member's individual name for
35 the arguments for the proposed change.

36 3. The ballot shall contain the words "change capital improvements,
37 yes" and "change capital improvements, no", and the voter shall signify
38 the voter's desired choice.

39 4. If the election is to add a purpose that was not on the initial
40 ballot, the ballot shall list the purpose that is proposed to be added.

41 ~~M.~~ N. If an election is held to extend the time to issue bonds
42 pursuant to subsection A, paragraph 6 of this section, the following
43 requirements apply:

44 1. The election may be held only on the first Tuesday after the
45 first Monday in November.

1 2. Not later than thirty-five days before the election, the school
2 district shall mail an informational pamphlet prepared by the county
3 school superintendent to each household in the school district that
4 contains a qualified elector. The informational pamphlet shall contain,
5 at a minimum, the following information:
6 (a) The date of the election.
7 (b) The voter's polling place and the times it is open.
8 (c) A statement as to why the election was called.
9 (d) Arguments for and against the proposed change, if submitted, as
10 provided in section 15-481, subsection B, paragraph 9. The ballot
11 arguments for the proposed change shall be signed as the governing board
12 of the school district without listing any member's individual name for
13 the arguments for the proposed change.
14 3. The ballot shall contain the words "extend time to issue bonds,
15 yes" and "extend time to issue bonds, no", and the voter shall signify the
16 voter's desired choice.

17 Enroll and engross to conform
18 Amend title to conform

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